

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester II Examination, 2021-22

Paper No. BCH-122: Financial Accounting-II

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. Differentiate between Promissory Note and Bills of Exchange. Give Journal Entries in the Books of Drawer and Drawee. [14]

OR

(a) State the causes of difference between the balance of Cash Book and Pass Book. [6]

(b) From the following particulars, prepare Bank Reconciliation Statement to ascertain the balance as per Cash Book: [8]

- (i) Credit balance of Pass Book: Rs. 12,000
- (ii) Cheque issued but not presented: Rs. 3,000
- (iii) Bank debited Rs. 50 and credited Rs. 170
- (iv) Received a cheque and deposited: Rs. 350
- (v) Cheques deposited but not credited: Rs. 1,000
- (vi) Insurance premium paid by bank: Rs. 500
- (vii) Bank credited interest on investment: Rs. 250

Question 2. AB Ltd. issued a prospectus equity application for 2000 shares of Rs. 10 each at a premium of Rs. 2 per share, payable as Rs. 2 on application, Rs. 5 on allotment, Rs. 3 on first call and Rs. 2 on second call. Applications were received for 3400 shares and prorata allotment was made on application for 2400 shares and remaining applications were rejected. Money overpaid on applications were adjusted on allotment. Mr. Rakesh to whom 40 shares were allotted failed to pay allotment and first call and his shares were forfeited. Mr. Manish the allottee of 60 shares failed to pay the two calls and his shares were forfeited. All these forfeited shares were reissued as fully paid for Rs. 8 per share. Journalise the above transactions. [14]

OR

Discuss the conditions for redemption of preference shares. Give the various journal entries to be passed on redemption of preference shares. [14]

Question 3. What do you mean by Sinking Fund Method? Give the various journal entries and show necessary accounts to redeem debentures under Sinking Fund Method. [14]

OR

(a) XY Ltd. purchased machinery worth Rs. 5,00,000 from Z Ltd. and payment was made by issue of 10% debentures of Rs. 100 each. Pass necessary Journal entries for the purchase of machinery and issue of debentures when:

- (i) debentures are issued at par
- (ii) debentures are issued at 10% discount
- (iii) debentures are issued at 10% premium

[7]

(b) Journalise the following transactions:

[7]

- (i) Debentures issued at Rs. 100 to be redeemed at Rs. 120
- (ii) Debentures issued at Rs. 90 to be redeemed at Rs. 105
- (iii) Debentures issued at Rs. 95 to be redeemed at Rs. 100
- (iv) 700 debentures were issued at face value of Rs. 100

Question 4. Q Ltd. was registered to take over a running business from 1st April, 2021. The company was incorporated on 1st August, 2021 and certificate to commence business was received on 1st October, 2021. The company prepared the following Profit & Loss Account on 31st March, 2022:

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
To Rent	20,000	By Gross Profit	2,00,000
To Insurance	10,000		
To Electricity	7,400		
To Salaries	51,000		
To Director fees	5,600		
To Commission	7,000		
To Advertisement	4,000		
To Office expenses	7,500		
To Depreciation	3,000		
To Preliminary exp.	7,500		
To Bad debts	2,000		
To Interest	3,000		
To Net Profit	72,000		
Total	2,00,000	Total	2,00,000

Additional Information:

- (a) Sales up to commencement of business amounted to Rs. 3,00,000 wherefore it started to record an increase of two-fifth during the rest of the year.
- (b) Depreciation included Rs. 1,200 for the assets acquired in post-incorporation period.

Prepare Profit & Loss Account to show profit prior to and post-incorporation indicating the basis of allocation. [14]

OR

T Ltd, a public company was incorporated on 1st March, 2020 and received its certificate to commence business on 1st April, 2020. It took over the business of S Ltd. running from 1.1.2020. From the following particulars, prepare Profit & Loss Account to show profit prior to and post-incorporation:

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
Salaries	20,000	Preliminary expenses	6,000
Rent	28,000	Bad debts	900
Director fees	3,500	Discount	3,600
Interest on debentures	8,000	Interest to vendor	10,000
Auditor fees	12,500	Printing and stationery	5,200
Depreciation	12,000	Commission	4,800
Advertising	24,000	Establishment charges	11,400

Total sales for the year was Rs. 9,00,000 while sales up to 31.03.2020 was Rs. 3,00,000. The Gross Profit for the year was Rs. 2,49,000. [14]

Question 5. The following is the Trial Balance of S. S. Ltd. as at 31st March, 2021. Prepare Trading and Profit & Loss Account for the year and Balance Sheet as on 31st March, 2021:

Particulars	Debit Balance (Rs.)	Credit Balance (Rs.)
Land and Building	34,000	
Plant and Machinery	66,000	
Fees	2,000	
Calls in Arrear	600	
5% Government Bonds	3,600	
Motor Vehicle	4,000	
Interim Dividend	1,800	
Goodwill	54,600	
Repairs	300	
Purchases	96,000	
Interest to Bank	840	
Audit Fees	400	
Advertisement	1,000	
Carriage	1,500	
Wages	9,200	
Insurance	2,000	
Opening Stock	19,000	
Tools Purchased on Instalment	4,000	
Loss on Foreign Exchange	1,700	
Furniture	2,900	
Trade Debtors	8,300	
Return Inward	2,800	
Share Capital		80,000
Global Depository Receipts		12,000
Pension Fund		6,000
P & L A/c Balance		3,540
Return Outwards		2,000
Sales		1,23,000
Suppliers of Material		10,000
Private Placement of Debentures		30,000
Income Tax Outstanding		5,000
Foreign Exchange Credit		40,000
Creditors		5,000
Total	3,16,540	3,16,540

Adjustments:

- Closing stock Rs. 22,000.
- Amount spent Rs. 5,600 on protection of environment not yet accounted for.
- Audit fees include Rs. 100 for tax consultancy.
- Managing Director's commission to be provided at 2% on net profit before charging such commission.
- An amount of Rs. 2,000 to be written-off for Goodwill.
- Running expenses for the previous year of Rs. 400 not provided in that year, paid now in current year.

[14]

OR

Explain the provisions of Companies Act as regards the preparation of Profit and Loss Account. [14]